Arista Networks (NYSE: ANET)

Equity Research & Scenario-Based DCF Valuation

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PORTFOLIO RESEARCH • HISTORICAL EVIDENCE & ILLUSTRATIVE VALUATION

Executive summary

Arista's reported revenue increased from USD 5,860.2 million in FY2023 to USD 9,005.7 million in FY2025. In unaudited 9M2026 results, revenue reached USD 9,402.3 million. The research question is whether network demand and operating leverage can sustain economic cash generation as customer concentration, competitive intensity and reinvestment requirements evolve. [K, Item 8 p.69; Q, Part I Item 1 p.2]

Analyst interpretation: historical growth and profitability justify further research, but do not establish durable future margins or an attractive investment price. Three preliminary hypotheses concern AI networking demand, software-led repeat purchasing and operating leverage; each has explicit counterarguments on page 5.

Evidence / model status	Portfolio finding
Reported historical	FY2023–FY2025 and Q3 / 9M2026 sourced to SEC statements.
Derived analysis	Growth, margins, separate analytical FCF measures and additive TTM income.
Hypothetical scenarios	Base EV 86,484.9; Bull 154,717.2; Bear 38,671.0 (USD millions).
Unresolved valuation	Equity value and per-share output BLOCKED; no recommendation.

All scenario valuations are HYPOTHETICAL / NOT YET VALIDATED. Enterprise value is the modeled value of operating assets; it is neither equity value nor market capitalization. No rating, stock price, price target, upside/downside percentage or per-share valuation is assigned.

Valuation status: equity / per-share BLOCKED

Reported liquidity does not establish excess cash. Operating liquidity, investment adjustments, additional nonoperating assets, aggregate claims and a defensible point-in-time diluted share count remain unresolved. The financial bridge is therefore deliberately incomplete. [R2; page 8]

Dates and evidence convention

The DCF has a retrospective September 30, 2026 reference date and uses the 10-Q filed November 4, 2026. It is not a contemporaneously investable September 30 backtest. The requested research date precedes this report's preparation and latest repository audit; no additional market information is introduced. [R1–R2]

Reported = SEC statement fact; management statement = issuer description or explanation; derived = analyst arithmetic; hypothetical = unvalidated forward assumption. Amounts are USD millions unless labeled otherwise. FY ends December 31; Q3 is July–September; 9M is January–September YTD. Sources K, Q, N and internal references R1–R4 are linked on page 8 and cited near relevant claims.

Business, demand and competition

Revenue model and customer groups

Reported: FY2025 product revenue was 7,576.9 and service revenue was 1,428.8. Management describes products as switching/routing systems and associated network applications, while services primarily reflect post-contract support and renewals. Service revenue is not automatically standalone software subscriptions or annual recurring revenue. [K, Item 7 “Revenue” p.54; Item 8 p.69]

Management identifies large cloud/AI operators, internet/service providers, AI neoclouds, enterprises and government customers. Distribution includes direct sales and distributors, resellers, systems integrators and OEM partners. These are issuer descriptions, not independent estimates of customer economics. [K, Item 1 “Our Customers” / “Sales and Marketing” p.7]

Products and the role of software

Management describes EOS as its network operating system, CloudVision as its management/automation platform and NetDL as its network data lake. Its portfolio includes data-center/AI Ethernet switching, campus networking, routing and support; Etherlink addresses AI networking use cases. A common software and management architecture is an asserted differentiator; independent customer evidence is needed to establish superior operating economics. [K, Item 1 pp.1–4,6]

AI networking: a demand thesis, not a revenue attribution

Management links demand to AI/cloud workloads and discusses scale-up, scale-out and scale-across architectures. AI infrastructure can require networking capacity, but deployment architecture, acceptance conditions and customer budgets govern which vendors capture revenue. Management also cautions that AI investment can change other spending priorities. No AI-specific revenue amount, market size or market-share estimate is asserted. [K, Item 1 pp.2–3; Q, Item 2 “Overview” pp.14–15]

Issuer disclosure	Research implication / qualification
Cisco: competing portfolios and bundled solutions. [K, Item 1 pp.8–9]	Test operating simplicity against procurement breadth; no relative price/performance ranking is established.
NVIDIA: Ethernet, InfiniBand and NVLink interconnect/switch platforms. [N, Item 1 “Data Center” p.5]	Architecture coverage is not proof of vendor selection. NVIDIA and ANET fiscal years are not aligned for peer financial comparisons.
Arista: common software architecture and merchant silicon. [K, Item 1 pp.6–8]	Test retention, costs and pricing against independent customer evidence.

Analyst interpretation and evidence required

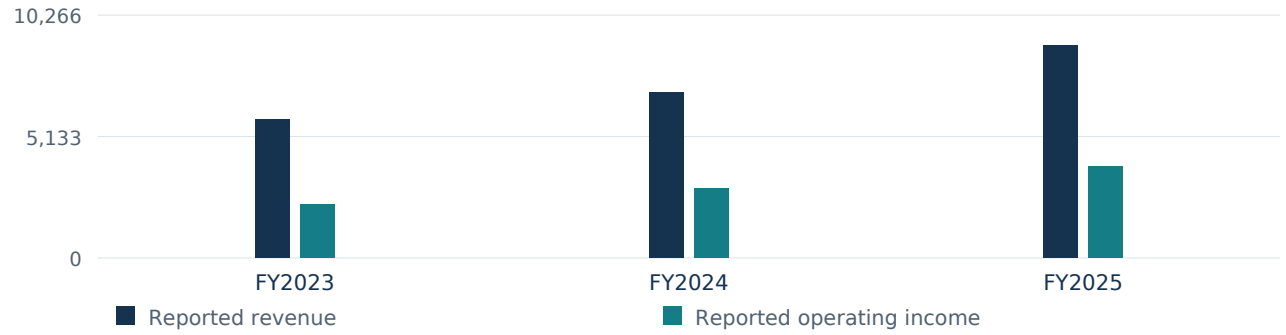
Ethernet adoption alone does not establish an Arista win. Evaluate like-for-like scale-up, scale-out and inter-site requirements, customer procurement constraints and implementation costs. The report does not rank price/performance, claim technology superiority or assign a valuation premium for AI exposure. Independent deployment economics, renewal data and dated customer-spending evidence remain research gaps. [R3, Sections 2–3 and evidence gaps]

Historical financial performance

Reported statement amounts; unaudited interim results. Derived growth and margins use unrounded repository inputs. Annual and interim durations remain separate. [K, Item 8 p.69; Q, Part I Item 1 p.2]

USD millions	FY2023	FY2024	FY2025
Revenue	5,860.2	7,003.1	9,005.7
Gross profit	3,630.3	4,491.3	5,768.7
Operating income	2,257.3	2,944.6	3,856.1
Net income	2,087.3	2,852.1	3,511.4

Annual revenue and operating income | USD millions



Derived: revenue grew 19.5% in FY2024 and 28.6% in FY2025. Operating margin increased from 38.5% in FY2023 to 42.8% in FY2025. These are observations, not estimates of sustainable margins. [K p.69; calculations: revenue/prior revenue − 1; operating income/revenue]

USD millions	Q3 2025	Q3 2026	9M 2025	9M 2026
Revenue	2,308.3	3,657.6	6,517.9	9,402.3
Gross profit	1,490.2	2,325.7	4,204.9	5,912.8
Operating income	978.2	1,642.4	2,823.2	4,178.2
Net income	853.0	1,560.4	2,555.6	3,796.2
Diluted EPS (USD)	0.67	1.22	2.00	2.98

Derived: Q3 revenue grew 58.5% YoY; 9M revenue grew 44.3%. The 9M gross margin fell from 64.5% to 62.9%, while operating income grew 48.0%. Management attributes gross-margin pressure to higher product costs, partly offset by supply-chain productivity. Analyst interpretation: OpEx leverage has supported earnings, but cost/mix sensitivity limits simple extrapolation. [Q, Item 1 p.2; Item 2 p.16]

Derived TTM income, October 1, 2025–September 30, 2026: revenue 11,890.1; operating income 5,211.1; net income 4,752.0. Formula: FY2025 + 9M2026 − 9M2025. These are additive income measures, not annualized Q3 results. No TTM diluted EPS or TTM FCF is presented. [K p.69; Q p.2; R4]

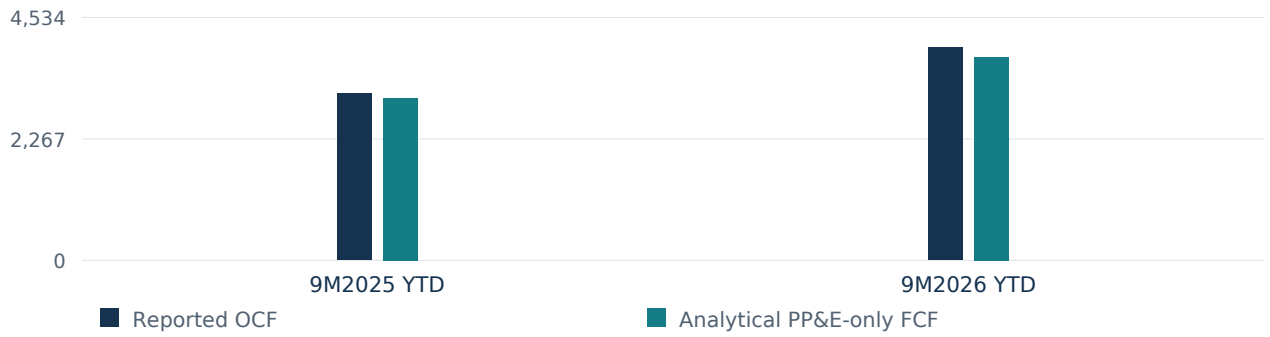
Cash conversion and principal risks

Two analytical FCF definitions — do not splice

FCF below is analyst-derived: operating cash flow less the absolute purchase outflow. These measures are not FCFF and are not SEC-reported FCF line items. Annual purchases include property, equipment AND intangibles; interim purchases are PP&E-only. [K, Item 8 p.72 / local PDF p.76; Q, Item 1 p.5]

Period	Reported OCF	Purchases	Derived FCF	Purchase scope
FY2023	2,034.0	(34.4)	1,999.6	Combined
FY2024	3,708.2	(32.0)	3,676.2	Combined
FY2025	4,371.9	(119.5)	4,252.4	Combined
9M 2025 YTD	3,110.0	(82.5)	3,027.5	PP&E only
9M 2026 YTD	3,977.4	(184.9)	3,792.5	PP&E only

Interim cash generation | USD millions



The cash-flow statement supplies 9M YTD amounts, not standalone Q3 cash flow. A reliable annual cash-intangible split is unavailable. Do not estimate Q3 cash flow from 9M alone or combine these definitions into unsupported TTM FCF. [R1–R2]

Risk assessment and monitoring priorities

Customer concentration / spending: the two largest end customers represented 26% and 16% of FY2025 revenue; identities are not inferred. Large-customer spending and acceptance cycles can create volatility. Monitor diversification and accepted deployments rather than treating AI demand as assured revenue. [K, Item 1 p.7; Item 1A pp.14–15]

Competition / margins: pricing, bundled alternatives, product/customer mix and component costs can pressure profitability. Customers' own solutions and alternative architectures are relevant. Monitor gross margin alongside growth rather than assuming software differentiation protects pricing. [K, Item 1 pp.8–9; Q, Item 2 p.16; Item 1A pp.29–30]

Supply chain / cash conversion: management describes reliance on contract manufacturers and Broadcom silicon, supplier shortages and excess inventory exposure. Receivables, inventory and deferred revenue affect cash timing. Examine commitments and operating cash-flow reconciliation alongside earnings. [K, Item 1 p.8; Q, Item 1 p.5; Item 1A pp.23–26]

Valuation risk: unvalidated discount rates, terminal reinvestment, NWC classification and dilution can dominate the model. Operating success alone does not establish attractive equity value. [R1–R2]

Preliminary hypotheses and forecast drivers

These are analyst hypotheses to investigate, not final investment conclusions. Evidence is a starting point, not confirmation. [R3, Section 3]

Preliminary hypothesis	Evidence / counterargument
1. AI networking could sustain demand.	Management describes AI/cloud networking demand [K pp.2–3; Q pp.14–15]. Counterargument: acceptance delays, spending reprioritization or competing architectures may limit conversion. Test deployment schedules and repeat purchases.
2. Software consistency could support repeat purchasing.	EOS / CloudVision platform descriptions provide a starting point [K pp.1–6]. Counterargument: bundled competition or limited proven cost benefit may weaken differentiation. Test independent customer economics and renewals.
3. Scale could support operating leverage.	Historical operating income rose [K p.69; Q p.2]. Counterargument: gross-margin pressure and reinvestment/NWC absorption can offset scale. Test normalized cash conversion, not earnings alone.

Scenario inputs: HYPOTHETICAL / NOT YET VALIDATED

The cases are illustrative, not management guidance, probabilities or empirically calibrated forecasts. Q4 gross margin and OpEx ratios apply to Q4 FY2026, then full FY2027–FY2030; FY2026 full-year ratios blend reported 9M with modeled Q4. All drivers below come from existing assumptions, not new estimates. [R1; data/valuation/assumptions.json]

Driver	Base	Bull	Bear
Q4 FY2026 revenue YoY	30.0%	50.0%	10.0%
FY2027–2030 growth	20%, 16%, 12%, 10%	28%, 24%, 20%, 16%	10%, 8%, 6%, 4%
Gross margin	63.0%	65.0%	60.0%
OpEx / revenue	19.0%	18.0%	22.0%
Operating tax rate	22.0%	22.0%	22.0%
D&A / revenue	0.9%	0.9%	0.9%
PP&E / revenue	2.5%	2.5%	3.0%
Extra intangible budget / revenue	0.5%	0.5%	0.5%
Year-end NWC / annual revenue	9.0%	8.0%	11.0%
WACC	10.0%	9.0%	12.0%
Terminal growth	3.0%	3.5%	2.0%

Calibration judgment

Derived historical gross margins span approximately 61.95–64.56%; D&A/revenue spans 0.75–1.20% across available annual/interim periods. These are discussion ranges, not forecast confidence intervals. Reported effective taxes vary approximately 12.65–20.81%, but do not validate a normalized 22% EBIT tax rate. No filing supports the particular multiyear growth, WACC or terminal-growth choices. [K pp.69,72; Q pp.2,5; R2 and assumption_evidence_matrix.csv]

Forecast construction and FCFF methodology

Base annual forecast: HYPOTHETICAL / NOT YET VALIDATED

FY2026 is a partial-year estimate: 9M income, D&A and PP&E purchases are reported; Q4 is modeled. Annual operating taxes, intangible investment and economic NWC are modeled. FY2027–FY2030 are entirely estimates. Values below are rounded for presentation, not independently entered. [R1; model_outputs/forecasts.csv]

USD millions / %	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	12,636.4	15,163.7	17,589.9	19,700.7	21,670.8
Revenue growth	40.3%	20.0%	16.0%	12.0%	10.0%
Gross margin	62.9%	63.0%	63.0%	63.0%	63.0%
Operating expenses	2,349.1	2,881.1	3,342.1	3,743.1	4,117.4
Operating income / EBIT	5,601.2	6,672.0	7,739.6	8,668.3	9,535.1
Operating margin	44.3%	44.0%	44.0%	44.0%	44.0%
Modeled taxes	1,232.3	1,467.8	1,702.7	1,907.0	2,097.7
NOPAT	4,369.0	5,204.2	6,036.9	6,761.3	7,437.4
D&A	99.4	136.5	158.3	177.3	195.0
PP&E purchases	265.8	379.1	439.7	492.5	541.8
Extra intangible budget	63.2	75.8	87.9	98.5	108.4
Change in NWC proxy	869.8	227.5	218.4	190.0	177.3
Full-year modeled FCFF	3,269.6	4,658.3	5,449.1	6,157.6	6,805.0
DCF-included FCFF	956.1	4,658.3	5,449.1	6,157.6	6,805.0

Explicit forecast mechanics

FY2026 revenue = reported 9M2026 + derived Q4 FY2025 revenue × (1 + assumed Q4 growth). Q4 FY2025 revenue of 2,487.8 is FY2025 less 9M2025, not a separately reported line. Later years use scenario growth. EBIT = gross profit − OpEx; NOPAT = EBIT − modeled taxes. [K p.69; Q p.2; R1]

FCFF = EBIT × (1 − tax rate) + D&A − CapEx − change in operating NWC. No interest expense or dividend is subtracted. No SBC add-back or arbitrary repurchase outflow is added: compensation remains an operating cost. Existing awards still require a separate dilution/claim assessment to avoid double charging future service costs. [R1–R2]

Timing and classification audit

Only Q4 FY2026 FCFF enters the DCF at 0.25 years; FY2027–FY2030 use 1.25–4.25 years. Full-year FY2026 FCFF is not discounted in addition. Annual modeled FCFF less elapsed-9M modeled FCFF reconciles to the Q4 stub in all three cases. Elapsed-9M normalized taxes/intangibles/NWC are modeled, not reported FCFF. [R2; stub_audit.csv]

The current-only NWC proxy rises from 267.5 at December 2025 to 1,051.3 at September 2026. Including noncurrent deferred revenue changes the increase from 783.8 to 416.3. Neither is economically validated; reclassification requires recalibrated targets, not a one-time cash release. [Q p.1; R2; nwc_classifications.csv]

Annual combined purchases lack a reliable split. The model adds a hypothetical 0.5%-of-revenue intangible budget; a separate PP&E-only alternative omits it to isolate its effect. That alternative is incomplete if intangibles are needed, not evidence of zero actual spending or a validated upper bound. [R2; capex_alternatives.csv]

Scenario enterprise valuation and sensitivity

HYPOTHETICAL / NOT YET VALIDATED • USD millions • September 30, 2026 retrospective reference

Case	WACC	Terminal g	Enterprise value	Terminal PV / EV
Base	10.0%	3.0%	86,484.9	78.6%
Bull	9.0%	3.5%	154,717.2	83.9%
Bear	12.0%	2.0%	38,671.0	69.5%

Enterprise value = sum of discounted forecast FCFF + discounted terminal value. Terminal value = next-year terminal FCFF / (WACC − terminal growth); WACC must exceed terminal growth. Terminal FCFF recomputes NOPAT, D&A, CapEx and NWC investment rather than merely growing the last FCFF. These are operating-asset values, not market capitalizations or equity valuations. [R1; scenario_dcf.csv]

Base operating case: WACC versus terminal growth

WACC / g	2.0%	2.5%	3.0%	3.5%	4.0%
8.0%	104,569.5	112,637.2	122,318.4	134,151.0	148,941.7
9.0%	89,132.8	94,797.7	101,406.7	109,217.3	118,590.1
10.0%	77,570.0	81,730.3	86,484.9	91,971.0	98,371.4
11.0%	68,589.3	71,750.2	75,306.3	79,336.5	83,942.4
12.0%	61,415.4	63,882.0	66,622.6	69,685.7	73,131.6

Sensitivity values are enterprise values in USD millions. Only WACC and terminal growth change within this Base grid; operating assumptions remain fixed. Cross-scenario differences above also change growth, margins and reinvestment. The grid is not a probability distribution, price target range or market-implied valuation. [R1; sensitivity.csv]

Terminal economics and valuation dependence

Case	Net reinvestment / NOPAT	Implied incremental return
Base	6.9%	43.6%
Bull	6.5%	54.1%
Bear	9.5%	21.1%

The implied incremental return equals terminal growth / (net reinvestment / NOPAT), with net reinvestment = CapEx − D&A + change in NWC. It is not reported accounting ROIC. These high implied returns require validation; terminal growth and reinvestment are not independent free inputs. Terminal value represents roughly 69–84% of modeled EV across the cases, making mature economics particularly important. [R2; terminal_economics.csv; scenario_dcf.csv]

No WACC components, current share price or industry benchmark are invented. The evidence audit leaves the original scenario EVs unchanged; alternative CapEx-scope outputs are analytical illustrations, not a recalibrated recommendation. [R2]

Limitations, sources and reproducibility

Equity / per-share valuation remains BLOCKED

Reported September 30, 2026 cash is 2,288.1 and securities are 12,070.9; their 14,359.0 sum is not automatically excess liquidity. The 905.2 cash-equivalent investment subset is already within cash. Restricted cash of 1.5 sits outside this pool in other assets. Operating reserves, realization/restriction adjustments and eligible nonoperating assets remain unresolved. [Q, Item 1 p.1; Note 2 pp.7–8; R2]

No separately disclosed funded borrowing is a limited classification, not proof of zero debt-like claims. Other current liabilities of 296.4 and long-term liabilities of 358.1 need operating/tax/debt-like classification. Other assets of 899.2 are not a validated nonoperating addition. Preferred/NCI zero components do not establish zero aggregate claims. Rent remains in EBIT; lease capitalization would require coordinated FCFF and WACC treatment. Avoid deducting operating liabilities in both NWC and the bridge. [Q pp.1,6; K Note 5 p.86; R2]

September basic shares of 1,263.4 million and unvested RSUs of 24.3 million do not establish fully diluted shares. Q3/9M diluted EPS shares of 1,278.2/1,276.0 million are period averages. Award terms, vesting, proceeds and a dated economic dilution method remain unvalidated. No current price or per-share result is supplied. [Q pp.1,4; Notes 5–6 pp.11–12; R2]

Source register — official links and internal audit trail

Reference	Source / scope (click to open)
K	ANET FY2025 Form 10-K: business pp.1–9; risks pp.14–15; statements pp.68–69,72; leases p.86.
Q	ANET Sep. 2026 Form 10-Q (filed Nov. 4): statements pp.1,2,5; Notes 1–7 pp.6–12; MD&A pp.14–19; risks pp.23–30.
N	NVIDIA FY2026 Form 10-K: Item 1, Data Center p.5. Product coverage only.
R1	Forecast and DCF methodology: formulas, assumptions and timing.
R2	Valuation evidence review: bridge, classification and terminal audit.
R3	Sourced investment thesis: business, preliminary hypotheses and risks.
R4	Quarterly / TTM methodology: periods, formula and EPS/FCF limits.

Reproducibility and remaining research

Editable source: reports/anet_equity_research.md. Builder: scripts/build_research_report.py. Install requirements-report.txt and run python scripts/build_research_report.py, then python -m pytest -q. PDF and input-hash manifest are in reports/. Tables/charts read existing historical CSVs and model_outputs; no network access, forecasts or source downloads occur during report generation.

This portfolio report synthesizes existing repository evidence. Source page numbers are filing printed pages; K local PDF pages are printed page +4. Full FY2023 balance-sheet data is unavailable; interim cash flow is YTD only. Independent competitive economics, AI revenue attribution and defensible forward driver/WACC/dilution evidence remain open. No unsupported TTM FCF or TTM diluted EPS is calculated. This is a research process demonstration, not a completed investment recommendation. [R1–R4]